auditor should ensure that all expenses incurred in connection with construction of a building like materials purchased, wages paid, cartage has been capitalized. In case of construction of a building, auditor should examine the construction contracts and architects certificate.

Documents to be Vouched: (1) Title Deeds, Sale Agreements (2) Lease Agreement (3) Correspondences with Seller (4) Auctioneers Statement (5) Architects Certificate (6) Contractors Agreement (7) Receipts.

Example

On 20th April 2016, purchased a piece of land for Rs.1,00,000 and paid cash.

Vouching of Purchase of Land and Buildings

Auditor should vouch the transaction in the following manner:

1. Verify entry in Cash Book with respect to date of purchase, cost and nature of asset purchased.
2. Verify entry in Land and Buildings Account with regard to date and amount of purchase.

Cash Account

Dr. **Cr.**

Date	Particulars	L.F	Amount ₹	Date	Particulars	L.F	Amount ₹
				2016 Apr 20	By Land and Buildings a/c		1,00,000

Land and Buildings Account

Dr. **Cr.**

Date	Particulars	L.F	Amount ₹	Date	Particulars	L.F	Amount ₹
2016 Apr 20	To Cash a/c		1,00,000				

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